

Table 37.3 Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price turn at D?	87%	89%
How many drop to point A?	34%	41%
How many drop to point B?	99%	98%
How many drop to point C?	51%	57%

How often does price turn at D? I found that price nearly always (87% to 89% of the time) rises up to reach the calculated turn D. The two market numbers are close, too, which is reassuring. So you can know ahead of time at what price D will appear. Then you can wait with Snoopy for it to show, like what's his name in the pumpkin patch in the Charley Brown series. After price turns, then you short. But how far down will the stock drop?

How many drop to...? For those patterns that do see price reach and turn at D, how far down does price drop? I used the pattern's turns to help gauge this.

For example, turn B is closest to turn D, so you would expect a high rate of price reaching that turn. Indeed, nearly all of the patterns will drop to B.

At the bottom of the pattern is point A. In bull markets, less than half (34%) will see price drop that far. Bear markets do better with price reaching the bottom of the pattern 41% of the time, but that's still less than half the patterns. Clearly you'll do better trading this pattern in bear markets than in bull ones.

Now that you have the probabilities of price reaching one of the turns in the Gartley, you can pick your target.

Let's read how George traded a Gartley.

Sample Trade

Figure 37.4 shows how George used a bearish Gartley to trade a stock. His software found the pattern for him at XABCD. He measured the rise from A to B (43.56 – 34.70) or 8.86. He added this to the low at C to get a target of